

Playbook: Payment Terms and Late Fees

SECTION 4: PAYMENT TERMS AND LATE FEES

4.1 Preferred Northwind Position (Model Clause Language)

> 4.1.1 Invoicing and Payment. Northwind Systems ("Northwind") shall issue invoices to Customer electronically in advance for all subscription fees, and in arrears for all usage-based or professional services fees. All undisputed invoice amounts are due and payable within thirty (30) days of the invoice date ("Due Date"). Customer shall pay all fees in United States Dollars via Automated Clearing House (ACH) transfer, wire transfer, or corporate credit card, in accordance with the payment instructions set forth on the applicable invoice.

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> 4.1.2 Late Payments. If any undisputed invoice is not received by Northwind by the Due Date, such unpaid amount shall accrue a late payment charge at the rate of one and one-half percent (1.5%) per month, or the maximum rate permitted by applicable law, whichever is lower, calculated from the Due Date until the date of actual payment in full.

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> 4.1.3 Suspension of Services. If Customer fails to pay any undisputed invoice within fifteen (15) days following written notice of delinquency from Northwind, Northwind reserves the right, upon written notice to Customer, to suspend Customer's access to the Services until all delinquent amounts, together with any applicable late charges, are paid in full. Suspension of Services shall not relieve Customer of its obligation to pay subscription fees accrued during the suspension period.

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> 4.1.4 Disputed Invoices. If Customer in good faith disputes any portion of an invoice, Customer must notify Northwind in writing within fifteen (15) days of the invoice date, providing detailed supporting documentation for the dispute. Customer shall timely pay all undisputed portions of the invoice by the Due Date. The parties shall negotiate in good faith to resolve any disputed amount within ten (10) days of Northwind's receipt of Customer's notice.

4.2 Fallback Position

If Customer rejects Net 30 advance invoicing or refuses the 1.5% monthly late fee, the negotiating attorney is authorized to deploy the following fallback positions without further escalation:

1. Payment Period: Net 45 days from invoice date.
2. Late Fee: One percent (1.0%) per month, or the statutory maximum.
3. Cure Period for Suspension: Extended to twenty-five (25) days following written notice of delinquency.
4. Dispute Notice Window: Extended to twenty (20) days from the invoice date.

4.3 Walk-Away Position

Legal counsel and sales representatives must terminate negotiations or escalate immediately if the counterparty insists on any of the following commercial terms, as they violate Northwind's risk threshold:

1. Net 60 Days or Greater: Any payment term exceeding Net 45 days.
2. Exclusion of Late Fees: Any demand for zero late fees or an interest rate below zero point five percent (0.5%) per month.
3. Service Suspension Restrictions: Any restriction prohibiting Northwind from suspending services for non-payment within thirty (30) days or less of notice.
4. Uncapped Withholding Rights: Any clause permitting Customer to withhold payment of undisputed fees pending resolution of unrelated disputes, or withholding greater than twenty percent (20%) of an invoice during a bona fide dispute.

4.4 Numeric and Categorical Thresholds

The following thresholds govern all Northwind commercial agreements and must not be altered without express authorization:

1. Monetary Floor for Legal Collection: Northwind shall not initiate formal legal collection proceedings or engage outside counsel for unpaid balances below five thousand United States dollars (\$5,000.00), unless authorized by the VP of Finance.
2. Late Fee Cap: Total cumulative late charges assessed against any single invoice shall not exceed twenty-four percent (24%) of the original principal invoice amount.
3. Notice Period for Payment Default: Mandatory written notice period prior to exercising suspension rights is fifteen (15) calendar days (Preferred) or twenty-five (25) calendar days (Fallback).
4. Disputed Invoice Minimum Threshold: Customer may only dispute an invoiced amount if the disputed portion exceeds the greater of one thousand United States dollars (\$1,000.00) or ten percent (10%) of the total invoice value.

4.5 Named Deviations and Escalation Matrix

Any departure from the Preferred or Fallback positions that touches the following categories requires written approval from the designated internal authority before contract execution:

1. Credit-Based Payment Terms (Net 60 or Consignment): Escalates to Marcus Vance, Chief Financial Officer. Applies to Fortune 500 accounts or strategic enterprise deals exceeding two hundred fifty thousand United States dollars (\$250,000.00) annual contract value (ACV).
2. Waiver of Late Fees / Custom Interest Rates: Escalates to Sarah Lindqvist, VP of Global Sales. Permitted only for tier-one logo acquisitions where total late fee waivers do not exceed ten thousand United States dollars (\$10,000.00) per contract year.
3. Milestone-Based or Deliverable-Linked Payment Schedules: Escalates to Elena Rostova, General Counsel. Required for any professional services agreement where payment is tied to acceptance criteria rather than calendar dates or standard time-and-materials billing.

4.6 Worked Examples of Counterparty Language

Acceptable Counterparty Language (Do Not Escalate)

* Acceptable Example 1 (Modified Net 45 with standard dispute terms):

> **"Customer shall pay all undisputed invoices within forty-five (45) days of receipt. In the event of a good faith dispute regarding an invoice, Customer shall provide written notice to Northwind within twenty (20) days of receipt, detailing the specific charges in dispute, and shall timely pay all undisputed amounts. Neither party shall suspend performance while a dispute is being resolved in good faith."**

* Legal Note: Aligned with fallback positions; dispute and payment windows are within authorized tolerances.

* Acceptable Example 2 (Capped late fee compliance):

> **"Late payments shall accrue interest at the lesser of one percent (1.0%) per month or the maximum rate permitted by applicable law. In no event shall cumulative late charges on any single overdue invoice exceed fifteen percent (15%) of the overdue principal balance."**

* Legal Note: The 1.0% monthly rate matches the fallback position, and the 15% cumulative cap is more favorable than Northwind's internal threshold, posing minimal financial risk.

Unacceptable Counterparty Language (Escalate or Reject)

* Unacceptable Example 1 (Unilateral withholding and extended terms):

> **"Customer may withhold payment of any invoice, in whole or in part, if Customer reasonably believes there is a performance issue, service degradation, or unresolved support ticket, for a period not to exceed ninety (90) days without accruing interest or incurring late fees."**

* Legal Note: Violates walk-away rules. Permits unilateral withholding for operational issues unrelated to billing errors and extends payment terms to 90 days. Must be rejected.

* Unacceptable Example 2 (Condition precedent to payment):

> **"Payment of all Northwind invoices is expressly conditioned upon Customer's receipt of matching funds from its end-user clients. Northwind assumes all credit risk associated with Customer's downstream collections."**

* Legal Note: Completely unacceptable "pay-if-paid" clause. Transfers Customer's commercial credit risk to Northwind. Violates core SaaS revenue recognition principles and must be stricken immediately.